

These characteristics are dangerous in the context of a market. Credulity, or to be more direct, gullibility, leads the masses to readily believe what they are told, whether by fellow speculators or the management behind different assets coming to market.

Credulity is often what draws individual speculators to the crowd, and once there, the speculator is trapped within groupthink. The four characteristics of persuasion Le Bon mentions only exacerbate the situation: *Affirmation* leads the credulous to more strongly believe in their strategies when the market continues to go up, and that thinking spreads like a *contagion*. This pattern is *repeated*, again and again, as the speculators chase the returns of the most *prestigious* of assets. Unfortunately, when the market turns and the prestige is gone, the contagion of terror spreads just as quickly through the speculative crowd.

Tulipmania

The most famous instance of mass speculation in a commodity happened in the Dutch Republic in the 1630s. As with most periods of mass speculation, the time was right. With their merchants fueling trade, the Dutch enjoyed the highest salaries of any in Europe, financial innovation was in the air, and money was free-flowing. Shares of the Dutch East India Company had been rewarding shareholders handsomely for their investments.⁹ Fueled by enthusiasm, wealthy citizens poured money into properties, leading to a robust housing market. The ongoing appreciation of asset values created an